

Policy 707.05: Internal Controls

Status: DRAFT - 2nd Reading

Original Adopted Date: 08/01/2006 | **Last Revised Date:** 05/01/2021 | **Last Reviewed Date:** 05/01/2021

The Board expects all board members, employees, volunteers, consultants, vendors, contractors, students and other parties maintaining any relationship with the District to act with integrity, due diligence, and in accordance with all laws in their duties involving the District's resources. The board is entrusted with public dollars and no one connected with the District should do anything to erode that trust.

Internal controls are used to help ensure the integrity of district financial and accounting information. Adherence to district-established internal control procedures is the responsibility of all employees of the District. The superintendent, business manager and board secretary shall be responsible for developing internal controls designed to prevent and detect fraud, financial impropriety, or fiscal irregularities within the District subject to review and approval by the board. Administrators shall be alert for any indication of fraud, financial impropriety, or irregularity within the administrator's area of responsibility.

Any employee who suspects fraud, impropriety, or irregularity shall report their suspicions immediately to his/her immediate supervisor, and the superintendent. The superintendent shall have primary responsibility for any necessary investigations and shall coordinate investigative efforts with the board's legal counsel, auditing firm, the Auditor of State's office and other internal or external departments and agencies, including law enforcement officials, as the superintendent may deem appropriate.

Employees bringing forth a legitimate concern about a potential impropriety will not be retaliated against and those who do retaliate against such an employee will be subject to disciplinary action up to, and including, discharge.

In the event the concern or complaint involves the superintendent, the concern shall be brought to the attention of the board **president and** vice-president, who shall be empowered to contact the board's legal counsel, insurance agent, auditing firm, and any other agency to investigate the concern or complaint.

The superintendent shall ensure the State Auditor is notified as required by law of any suspected embezzlement or theft pursuant to Iowa law. The superintendent and/or board president in coordination with the Auditor of State's office, will determine whether to conduct a complete or partial audit. The superintendent is authorized to order a complete forensic audit if, in the superintendent's judgment, such an audit would be useful and beneficial to the school district. In the event, there is an investigation, records will be maintained for use in the investigation.

Individuals found to have altered or destroyed records will be subject to disciplinary action, up to, and including termination.

I.C. Iowa Code

Iowa Code § 279.8

Description

[Directors - General Rules - Bonds of Employees](#)

Iowa Code § 11

[Auditor of State](#)

Cross References

401.12

Description

[Employee Use of Cell Phones](#)

401.12-R(1)

[Employee Use of Cell Phones - Regulation](#)

705.04

[Requisitions/Purchase Orders](#)

705.04-R(1)

[Requisitions/Purchase Orders - Requisitions/Purchase Orders](#)